

dampen trading volume. Investors become skittish and at times regulation can forcibly clamp down on overenthusiasm. What helps an asset through these difficult periods is the diversity and depth of the exchanges and trading pairs offered globally.

On January 6, 2017, the day after bitcoin hit an all-time high trading volume of \$11 billion in one day and crossed the \$1000-a-coin mark for the second time in its life, the People's Bank of China (PBoC) announced it was investigating bitcoin trading on Chinese exchanges.⁹ Shortly after, the PBoC issued new regulations for the trading of bitcoin on exchanges within the country, including curtailing margin trading, requiring trading fees, and demanding stronger anti-money laundering and know-your-customer protocols. All of these requirements were understandable and have helped to legitimize bitcoin, but they did lead to a noticeable decline in Chinese trading volume, which for much of 2016 was still greater than 90 percent of trading volumes worldwide in bitcoin.¹⁰

China was responsible for over 90 percent of all bitcoin trading volume worldwide, and now the PBoC was placing restrictions on this activity. The situation was eerily similar to a late 2013 incident, when the PBoC rolled out new regulations after bitcoin crossed the \$1,000 mark for the first time.¹¹ Bitcoin's price crashed then, and continued to decline for over a year, and many feared the same would happen after the PBoC's commentary in 2017. While the price did initially fall precipitously, within a month it had recovered, and would shortly move to all-time highs. This was a very different reaction than 2013.